

Interconnection of Large Loads to the)
Interstate Transmission System) **Docket No. RM26-4-000**

² See Submission of Tariff Revisions to Add the High Impact Large Load Processes and High Impact Large Load Generation Assessment, Docket No. ER26-247 (Oct. 24, 2025) (SPP HILL Proposal).

Commission should adopt rules which facilitate grid-supply of large loads, and allow the paired study and connection of new grid-connected generation facilities to serve new, large loads. The Commission should also adopt a “no netting” rule for large loads, which would meter a full transmission charge for large loads regardless of the supply configuration. These measures will ensure broad stakeholder support, in turn, helping promote speed to service for large loads. These measures would also mitigate the risk of a lopsided policy where large load customers and generators are unduly incentivized to remove generation from the bulk electric system, which, in turn, could drive unintended reliability and cost-shift consequences. The utility industry stands ready to work with the Commission and large loads to help accomplish this. Moreover, entities like the SPP TO Group have been at the forefront of helping craft nation-leading policies, such as SPP’s HILL and HILLGA proposals. We similarly stand ready to share our experience as a model of success that is directly aligned with the Commission and DOE’s objectives.

DISCUSSION

I. THE SPP TO GROUP SUPPORTS THE CORE PURPOSE AND FUNDAMENTAL ELEMENTS OF THE ANOPR, BUT THE COMMISSION SHOULD ACCEPT INDEPENDENT ENTITY VARIATIONS THAT ALIGN WITH THE ANOPR’S CORE OBJECTIVES

A. The ANOPR Addresses an Urgent Need for Guidance on Co-Located Load and its Fundamental Principles Are Sound

The SPP TO Group supports the objective and foundational principles of the ANOPR and notes that the fundamental elements of the ANOPR are already incorporated into the SPP HILL Proposal. These shared foundations include, among other things:

- Recognizing the compelling need from an economic and national security standpoint to implement expedited interconnection processes for new large loads and, in particular, for new large loads associated with AI projects;
- Ensuring the reliability of the transmission grid as a non-negotiable guiding principle in any new interconnection policies designed to support new large loads and associated generation capacity;

- Allowing new large loads to be studied in tandem with associated new generation projects, which will support speed to market and system reliability;
- Requiring new large loads and generators to pay their share of transmission upgrades associated with interconnection, which will avoid the risk of inappropriate cost-shift to non-large load customers;
- Imposing sufficient upfront payments and penalties on new large loads and generators to prevent speculative or duplicative projects from seeking expedited interconnection procedures, while mitigating the risk of inappropriate cost shifts or stranded costs; and
- Minimizing impacts on standard generation and load interconnection processes that also support local and national economic development objectives.

B. The Commission Should Broadly Permit Independent Entity Variations for Programs Designed to Expedite the Interconnection of Large Loads

The Commission’s final rule in this proceeding should expressly state that RTOs and ISOs will have broad flexibility to seek variations from any *pro forma* tariff adopted by the Commission under the independent entity variation standard, as it has authorized in other cases.³ “The Commission grants an RTO/ISO an independent entity variation from an order allowing for such variations where the RTO/ISO demonstrates that the proposed variation (1) is just and reasonable, and not unduly discriminatory or preferential and (2) accomplishes the purposes of the order.”⁴

Consistent with this past practice, any nationwide rule addressing interconnection practices should expressly permit regional flexibility, particularly for regions like SPP that have already

³ See, e.g., *Sw. Power Pool, Inc.*, 192 FERC ¶ 61,062, at P 162 (2025) (“[U]nder the independent entity variation standard, RTOs/ISOs, as independent entities, have greater flexibility to tailor their generator interconnection processes to meet regional needs, including resource adequacy needs, and we find that SPP has demonstrated that the ERAS proposal is just, reasonable and consistent with the purpose of Order No. 2023 to ensure that interconnection customers are able to interconnect to the transmission system in a reliable, efficient, transparent, and timely manner.”); *Sw. Power Pool, Inc.*, 191 FERC ¶ 61,230, at P 99 (2025) (“[W]e accept SPP’s proposed Tariff revisions to maintain its existing study deposit framework and find that they meet the independent entity variation standard because the provisions are just and reasonable, not unduly discriminatory or preferential, and accomplish the purposes of Order Nos. 2023 and 2023-A.”).

⁴ *ISO New England, Inc.*, 164 FERC ¶ 61,222, at P 9 (2018).

been working diligently to advance policies consistent with those of the Commission and DOE. Technically speaking, though, the characteristics of regions such as SPP and MISO that are largely composed of vertically-integrated and investor-owned utilities are materially different than other regions, such as PJM, that include numerous states with retail open access policies as well as several wires-only transmission and distribution utilities. In addition, the transmission topography differs significantly between organized markets because regions like SPP and MISO are less densely populated and large geographic areas within those systems are often served by lower-voltage transmission lines, which means those portions of the system can be materially affected by the addition of loads that would be deemed relatively small in other organized markets. These technical and structural differences present unique and material reliability, cost, and speed considerations. The potential for these characteristics and other differences that drive a need for flexibility must be recognized in any final rule.

C. The ANOPR Rulemaking Proceeding Should Not Hinder Commission Consideration or Acceptance of Similar Large Load Interconnection Proposals Under FPA Section 205

The ANOPR should not halt or delay Commission action on regional or individual utility proposals that provide for the expedited interconnection of large loads, including AI projects. The ANOPR states that it “is not intended in any way to discourage public utilities from making filings to address these and similar issues under FPA section 205.”⁵ As previously noted, the SPP HILL Proposal supports the core objectives of the ANOPR and the SPP TO Group maintains that any broadly applicable rules can be crafted in a manner that preserves and harmonizes with the SPP HILL Proposal. In all events, the Commission should not delay its review of the SPP HILL

⁵ ANOPR at P 32.

Proposal while this rulemaking docket remains pending, and the SPP TO Group supports prompt approval of SPP's HILL Proposal.

II. SPP TO GROUP RESPONSES TO SPECIFIC ANOPR PROPOSALS

A. It is Essential that the Commission Adopt Rules Which Facilitate Grid Supply for Large Loads

The ANOPR provides that “to the extent practicable, load and hybrid facilities should be studied together with generating facilities” in order to “minimize the need for costly network upgrades.”⁶ As the SPP TO Group understands this proposal, it would be preferable for new large loads and the generation that will supply those new loads—often new or enlarged generation facilities—to be studied together. The SPP TO Group agrees with the ANOPR's observation that “siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.”⁷

It is essential that any large load rulemaking facilitate the ability to serve new loads with grid-connected generation in a manner similar to the SPP HILL Proposal.⁸ Under the SPP HILL Proposal, the load and generator may be located at the same point of interconnection,⁹ but the load also may be located within a specified number of buses to ensure that system impacts will be limited to a local area. Any large load rulemaking should facilitate the supply of large loads from grid-connected generation that may not be located at the same point of interconnection. The SPP

⁶ *See id.* P 20.

⁷ *Id.*

⁸ *See* SPP HILL Proposal at 26. (“Due to the limited nature of the interconnection [for a generator receiving expedited interconnection service], the POI must necessarily be in the same local area as the [identified large load], which requires close electrical proximity.”); *id.* (“To be considered within the same electrically local area, the POI of the Generating (sic) must be no more than two substations away from the [identified large load].”).

⁹ Such generation and loads connected at the same point of interconnection are separately metered and separately connected to that point of interconnection.

HILL Proposal explicitly provides this by allowing the point of interconnection for a generator *not* connecting to a 765 kV transmission line to be two substations away from a HILL's local delivery facilities, while a generator that *is* connecting to a 765 kV transmission line must be within one substation.¹⁰ The SPP HILL Proposal also permits one generator to support multiple HILLs if no more than five substations are utilized and no more than two existing transmission lines are needed between each substation.¹¹

B. Large Loads Should be Metered at a Full Transmission Load Regardless of the Presence of Any Co-Located or Hybrid Generation

The ANOPR proposes that “utilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that will be transmitted across the transmission system to the load.”¹² This proposal should be modified to the extent this is meant to create a transmission billing rule based on net usage of grid connected generation versus co-located generation. The Commission should avoid creating a new rule which would heavily discourage grid-supply arrangements and which would further strongly incentivize the removal of large amounts of generation from the bulk electric system. Instead, the Commission should focus on facilitating the addition of grid-connected loads and generation with a full transmission charge for large loads regardless of the supply configuration. This would not only help maintain grid-connected resources, it would also prevent unreasonable cost shifts to other, non-large load customers. The SPP HILL Proposal does just this and should serve as a leading model for the Commission in its rulemaking proceeding.

¹⁰ See SPP HILL Proposal at 27.

¹¹ See *id.*

¹² ANOPR at P 28.

SPP's HILL/HILLGA model will treat large loads and any co-located generation as distinct for tariff and metering purposes and will also assess transmission service on the load's gross withdrawals, not net of on-site generation at the same bus. SPP's policy expressly requires separate transmission-voltage meters for the load and the generation and prohibits netting for billing. This ensures that the transmission system is planned and paid for to meet the load's full reliability needs. This also avoids implicit cost shifts when the on-site generator is unavailable and the grid must stand ready to serve the entire facility.

SPP's proposed approach drew broad stakeholder support and reflects a balanced path that will enable the rapid connection of data centers and other large loads while protecting other customers from the risk of unreasonable cross-subsidies. Charting a path with broad support from the regions, states, customers, and utilities will far better enable speed for large loads than a "go it alone" approach.

C. Utilities Serving Large Loads, Including Those at Hybrid Facilities, Should Be Responsible for Providing Ancillary Services Based on Peak Demand Without Consideration of Any Co-Located Generation

The ANOPR proposes that "utilities serving large loads, including those at hybrid facilities, should be responsible for ancillary services based on peak demand, without consideration of any co-located generation."¹³ It also proposes that "any co-located generating facilities will similarly be fully compensated for the provision of ancillary services."¹⁴ The SPP TO Group supports this proposal. Ancillary services should be charged based on the full size of large loads, and the rates charged to such large loads should reflect this.

¹³ *Id.* P 29.

¹⁴ *Id.*

D. Load and Hybrid Facilities Should be Responsible for the Costs of Network Upgrades that They Are Assigned Through the Interconnection Studies

The ANOPR proposes that “load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies” and “seek comment on whether such costs should be offset through a crediting mechanism and, if so, over how many years.”¹⁵ The SPP TO Group agrees that cost causers and beneficiaries—whether load or hybrid facilities—should be responsible for all the network costs they are assigned under the relevant study process. The SPP TO Group also maintains that a crediting mechanism may be appropriate, with costs applied toward a full transmission charge associated with the large loads. But, given the structural and technical differences across states and regions, the term of the crediting mechanism should be flexible and subject to regional variations as appropriate. The SPP Group supports the SPP HILL Proposal that gives customers using the expedited interconnection process for large loads the same opportunity to receive transmission credits for network upgrades as it authorized for network upgrades associated with SPP’s Definitive Interconnection System Impact Study process.¹⁶

E. New Large Load Customers Seeking Expedited Interconnection Should Not Be Afforded the Same (or Equivalent) Option to Build as Currently Provided to Generator Interconnection Customers

The ANOPR proposes that “to the extent the interconnection customer is not the transmission owner, the interconnection customer shall be afforded the same (or equivalent) option to build as currently provided to generator interconnection customers.”¹⁷ The SPP TO Group disagrees with this proposal and opposes allowing interconnection customers to build network

¹⁵ *Id.* P 25.

¹⁶ See SPP HILL Proposal, *pro forma* tariff, Attach. BB, Appx. 2, 3 § 11.5.

¹⁷ ANOPR at P 26.

upgrades identified in expedited large load studies except when agreed by the transmission owner in the affected transmission zone. And, to the extent the ANOPR could be read to exclude existing transmission owners from competing to supply power to new large loads through the expedited process the ANOPR envisions, that would be unjust, unreasonable, and unduly discriminatory.

The SPP TO Group has previously explained its concerns with the legal merits of such a proposal,¹⁸ and these concerns are exacerbated by fundamental practical concerns. Notably, allowing large transmission customers who seek expedited interconnection to construct the transmission facilities necessary to support their interconnection request conflicts with the core purpose of the ANOPR: *i.e.*, to enable the interconnection of large new loads and hybrid facilities as quickly as feasible to support infrastructure critical to the nation's economy and security. Transmission owners know their systems and the requirements for construction of new facilities better than anyone else. Thus, incumbent transmission owners are in the best position to complete the transmission planning process and perform construction of new Network Facilities in the most expeditious manner.

Further, large load interconnection customers are not similarly situated to generator interconnection customers and should not be afforded the same option to build interconnection facilities and stand-alone network upgrades. Large load interconnection customers are not public utilities and lack experience constructing or developing those facilities. It would be unreasonable to place responsibility for constructing crucial energy infrastructure in the hands of entities that

¹⁸ See Motion to Terminate Proceeding, Alternative Motion to Hold Proceeding in Abeyance, and Responses of the Southwest Power Pool Transmission Owner Group, Docket No. ER24-82, Appx. A at 22 (Sept. 11, 2024); *Ameren Servs. Co. v. FERC*, 880 F.3d 571, 582 (D.C. Cir. 2018) (“In sum, petitioning transmission owners raise serious statutory and constitutional concerns with respect to the effect of compulsory generator-funded upgrades on their business model.”).

have no experience doing so. Granting large load an option to build, absent strict safeguards, would seriously undermine the goals of the ANOPR.

F. An Existing Generator that Seeks to Enter a Partial Suspension to Serve New Load at the Same Location Should Complete a System Support Resource (SSR)/Reliability Must Run (RMR) Type Study Before Diverting a Material Quantity of Generation Capacity to a Co-Located Load

The ANOPR proposes that “an existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource (SSR)/reliability must run (RMR) type study.”¹⁹ In addition, the ANOPR proposes that “[t]he partial suspension can only proceed after any network upgrades needed to ensure reliability are placed into service” and that any necessary “network upgrades shall be the responsibility of the generating facility.”²⁰

The SPP TO Group agrees that an existing generation resource that intends to divert a material amount of its capacity to serve a new large load at the same location should first submit to a study by the transmission provider to determine whether the diversion of that generation capacity will undermine reliable transmission. That approach is consistent with the current use of studies in all organized markets (e.g., Necessary Studies in PJM, SSR studies in MISO, and other RMR-type studies) to evaluate the reliability impacts caused by the loss of network generation capacity from other reasons, including unit retirements or exports to other networks.

¹⁹ ANOPR at P 27.

²⁰ *Id.*

G. Utilities Serving Large Loads Must Meet All Applicable NERC Reliability Standards and OATT Provisions

The ANOPR proposes that “utilities serving large loads must meet all applicable NERC reliability standards and OATT provisions.”²¹ The SPP TO Group supports this principle. Maintaining system reliability is paramount.

CONCLUSION

For the reasons set forth above, the SPP TO Group respectfully requests that the Commission carefully consider the above comments with respect to the ANOPR and that the Commission act expeditiously to publish a final rule that harmonizes with the processes and proposals SPP, the SPP TO Group, and other key stakeholders have worked hard to develop.

²¹ *Id.* P 31.

Matthew Bly
Senior Counsel
American Electric Power Service Corporation
801 Pennsylvania Ave. NW, Suite 735
Washington, DC 20004
(202) 383-3436
mlbly@aep.com

On behalf of American Electric Power Service Corporation

Denise Buffington
Senior Director Federal Regulatory Affairs
Eversource, Inc.
1200 Main Street
Kansas City, MO 64105
(816) 556-2683
denise.buffington@eversource.com

On behalf of the Eversource Companies

Dominic D. Williams
Principal Corporate Attorney
OGE Energy Corp.
321 N. Harvey Ave.
Oklahoma City, OK 73101
(405) 553-3729
williardo@oge.com

On behalf of Oklahoma Gas and Electric Company

November 21, 2025

Respectfully submitted,

/s/ John Lee Shepherd, Jr.

John Lee Shepherd, Jr.

Kenneth R. Carretta

Blake Grow

Hunton Andrews Kurth LLP

2200 Pennsylvania Avenue, NW

Washington, DC 20037

(202) 419-2135

(202) 778 2212

(202) 955-1991

jshepherd@hunton.com

kcarretta@hunton.com

bgrow@hunton.com

Counsel for American Electric Power Service Corporation, the Eversource Companies, Oklahoma Gas and Electric Company, and Southwestern Public Service Company

Timothy T. Mastrogiacomo

Vice President, Federal Regulatory, Legal, and Policy

Xcel Energy Services Inc.

701 Pennsylvania Avenue, NW, Ste. 250

Washington, DC 20006

(202) 661-4481

tim.t.mastrogiacomo@xcelenergy.com

On behalf of Southwestern Public Service Company